

FDE: Company and Share Valuation

Investment view: watchlist / speculative. At EUR23, the shares offer substantial upside if projects deliver, but no clear margin of safety on cautious assumptions. Mine-methane production is a credible operating business. The valuation is weakened by declining earnings, hedge-control failures and the financing required to turn the project pipeline into cash. Natural hydrogen remains an unproven additional opportunity.

La Française de l'Énergie trades on **Euronext Paris as FDE, ISIN FR0013030152**. Its close on **9 September 2026 was EUR23.00**, down 7.07% that day. Using the latest official share count found, 5.280m, gives approximately **EUR121m equity value**. This is calculated rather than copied from market-cap widgets, some of which retained an older price.^{1,2,20}

Business and competitive position

FDE captures gas from abandoned mines in France and Belgium and sells gas, electricity and heat. It also owns solar interests and is expanding in Norway through renewable gas, engineering and green hydrogen. Access to mine sites, local infrastructure and operating experience are its strongest advantages. The Norwegian buildout and Cryo Pur technology broaden the opportunity while adding execution complexity.^{9,10}

Management and employees held 24% of the capital at December 2025, providing meaningful financial alignment. That ownership does not substitute for effective oversight of trading exposure and capital allocation.¹⁶

Share-price performance

Price-only return	1 month	3 months	2026 YTD	1 year	3 years	5 years
FDE	-26.4%	-41.3%	-27.6%	-14.8%	-43.7%	+8.5%

The 52-week range is EUR23-47: the stock is at its annual low, 51% below the high. The CAC Mid & Small index was down about 1.6% year to date, so the weakness extends well beyond the wider market. The current decline alone is no evidence of cheapness.^{1,3}

The latest 50,270-share session was 3.2 times the 20-session average of 15,648. Average turnover is only about EUR0.36m per day at EUR23, making liquidity a practical constraint. A new low on elevated volume shows selling pressure; it does not establish where the price will bottom.¹

FY2026 sales were EUR29.1m, down 4.3% from EUR30.4m. Management expects more than 25% FY2027 growth, implying over EUR36.4m, but its EUR175m-plus FY2030 revenue target requires roughly 57% annual growth from FY2026. The corresponding EBITDA target exceeds EUR85m. Earlier 2026 guidance envisaged over EUR100m annualised revenue. Annualised and full-year figures differ, yet the timing gap is substantial.^{6,10,18}

Scope: information available after the 9 September close; fiscal years end 30 June. Long-term investment assessment, with a two-year valuation sensitivity. FY2026 full results are due 20 October; current debt and final hedge losses remain unconfirmed.⁶

1. Zonebourse. FDE closing quote, price history and trading volumes (9 September 2026).

2. FDE. Shares and voting rights at 31 December 2025 (21 January 2026).

6. FDE / Actusnews. FY2026 annual revenue announcement (21 July 2026).

Financial quality and funding

EURm	FY2023	FY2024	FY2025	H1 FY2026
Revenue	39.23	31.45	30.37	14.21
Reported EBITDA	26.65	19.73	17.28	6.03
Profit attributable to shareholders	11.97	9.72	3.68	0.83
Operating cash flow, before interest ¹	21.84	14.21	9.65	8.57
Gross investment in fixed assets ²	10.25	9.21	20.24	28.36

Sources: financial statements, using latest available comparatives.^{4,5,17} ¹Interest is classified in financing cash flow. ²Exploration plus tangible/intangible investment lines, before grants, payables and acquisitions. H1 is six months; FY2024 revenue reflects the later restated presentation. The July sales release revises the H1 revenue series to EUR14.5m; the table retains the interim accounts figure.

Reported profitability needs adjustment

FY2025 EBITDA contains **EUR5.87m of unrealised hedge gains**. Removing these alone reduces it to EUR11.40m. It also contains EUR2.82m of associate operating earnings, which are not automatically distributable cash. FY2025 operating cash flow of EUR9.65m becomes just EUR3.99m after EUR5.66m interest, before investment.⁴

H1 FY2026 EBITDA was EUR6.03m versus EUR6.52m a year earlier, despite higher revenue. Removing both the EUR2.03m hedge valuation loss and EUR2.80m Cemex research income produces a EUR5.26m sensitivity. This still includes associate earnings and research credits; it is not a fully normalised or audited recurring-profit measure.⁵

Cash must be read alongside debt and spending

At December 2025, cash was EUR51.55m, but **net debt was EUR79.22m including EUR10.98m leases**; gross debt was therefore about EUR130.77m. Minority equity was EUR14.82m and associates carried at EUR9.90m. These figures predate the July disclosures and subsequent investment.⁵

The March plan envisaged around **EUR200m net investment across FY2026-2028**. Its financing framework includes future cash generation and borrowing capacity. The plan therefore depends on assets starting to earn while construction bills arrive. Additional debt, asset-level partners or equity funding could dilute the benefit accruing to today's shareholders.¹⁰

July hedging losses are a governance issue

FDE disclosed approximately **EUR3.8m realised losses affecting profit and cash**, plus **EUR6.7m negative valuation on open positions** at June 2026. The EUR10.5m sum indicates the scale of the two disclosed exposures, not an audited incremental annual loss or an immediate EUR10.5m cash payment. Open positions can change in value; October accounts must reconcile them with earlier recognised amounts.⁷

The release acknowledged failures in execution and associated controls, as well as volatile markets, and announced tighter risk management. Management said financial commitments were unaffected. That statement needs confirmation through the audited accounts, the hedge maturity schedule and borrowing headroom. No covenant breach is established by this analysis.⁷

Assessment: positive cash generation provides a foundation, but borrowing and accounting gains make headline margins a poor shortcut to equity value. Near-term priorities are unrestricted cash, remaining investment commitments, hedge settlement cash flows and the sustainability of operating earnings.

4. FDE. FY2025 annual report, pp. 128, 131, 149 and notes (31 October 2025).

5. FDE. H1 FY2026 financial statements and notes 2.5, 3.2, 3.9 (30 March 2026).

7. FDE / Actusnews. Impact of energy-price volatility on FY2026 hedging positions (16 July 2026).

Projects, hydrogen and execution

Business / project	Evidence and economic implications
Mine methane Highest visibility	By August: 19 operating engines; another 16 secured for deployment over three years. Management expects roughly EUR18m additional annual sales and EUR10m EBITDA from the expansion programme. New French contracts are EUR80/MWh, inflation indexed, for 15 years. Gas availability, uptime and grid access determine realised output. ⁸
Norwegian renewable gas Operating acquisition + construction	Romerike was acquired at end-June and is already operational; expected FY2027 sales exceed EUR5m. Halså is now due in H2 calendar 2027. Earlier Halså/Stavanger budgets were about EUR40m each, targeting EUR15m annual sales each. Feedstock, offtake and commissioning economics need updating. ^{6,9}
Agder green hydrogen Construction	Initial 20MW phase: approximately EUR37m capital cost, around 40% grant support and EUR20m target annual sales in the October presentation. Project participants now point to early 2027 operation. Cheap electricity and firm paying customers are essential to the margin. ^{9,19}
Cryo Pur / industrial CO2 Demonstration	The Cemex pilot offers a potential route to repeat installations. The March presentation discusses a possible 18-site European rollout, not 18 firm orders. Treat commercial adoption and capital requirements as unproven. ¹⁰

Natural hydrogen: a discovery is not a commercial reserve

The June well update reports hydrogen concentrations of **49.6% at 2,426 metres**, after drilling PTH-2 to 3,655 metres. This describes sampled gas composition; it does not establish recoverable tonnage, sustained production or profit. Flow measurements were planned for H2 2026 and resource certification to begin in 2027. FDE's production ambition is late 2028 / early 2029.¹¹

IFPEN's 11 June sector assessment places industrial-scale prospects around 2035-2040 and identifies unresolved questions about reserves, trapping, migration and recovery. It predates FDE's latest update and is not a project-specific rejection. It nevertheless reinforces that FDE's schedule is ambitious. **Assign zero natural-hydrogen value in a cautious investment case** until flow rates, recoverability, costs and permissions support one.¹²

A substantive regulatory setback

The Conseil d'État annulled the **Bleue Lorraine coalbed-gas concession** in December 2025. Its explanation cites major exploration difficulties, defective well cementing and leakage towards aquifers, concluding that technical capability had not been demonstrated. This goes beyond routine administrative delay. The interim accounts disclose a legal challenge by FDE and still carry EUR35.96m of Bleue Lorraine exploration assets, raising a material recoverability question.⁵ The separate Trois-Évêchés hydrogen exploration permit was granted in January 2026; that permission still requires volumes and exploitation methods to be established.^{13,14}

Execution test: favour metered production, contracted margins and cash receipts over capacity announcements. The repeatable mine-methane programme offers the clearest near-term growth. Norwegian projects could transform earnings, but delays increase financing needs before they increase shareholder cash flow.

8. FDE / Actusnews. Continued rollout of electricity production from mine gas (31 August 2026).

11. FDE / Webdisclosure. Natural hydrogen concentrations in the Lorraine basin (23 June 2026).

12. IFP Energies nouvelles. La lettre IFPEN #16: Hydrogène naturel (11 June 2026).

13. Conseil d'État. Environment review: Bleue Lorraine judgment of 16 December 2025 (5 May 2026).

Valuation and investment decision

Historical cross-check. EUR121.44m equity value + EUR79.2m December net debt + EUR14.82m minority interests - EUR9.90m associate carrying value gives **about EUR205.6m enterprise value excluding associates**. Matching this to FY2025 EBITDA excluding associate earnings gives 14.2x; removing unrealised hedge gains as well raises the sensitivity to about 24.0x.^{2,4,5}

This uses an old debt snapshot and book values as rough proxies for minority and associate economic value. It is a diagnostic, not precise current fair value. Debt and EBITDA both include the lease-accounting treatment. The multiples show why a low share price can coexist with an expensive operating business.

FactSet/Boursorama lists only three analysts, with a EUR45 mean target in its 18 August snapshot, about 96% above EUR23. But its September financial estimates show FY2027 EBITDA of just EUR15m and net debt of EUR133m. The small analyst sample, evolving estimates and potentially different accounting definitions limit their usefulness as a valuation anchor.¹⁵

Illustrative two-year valuation sensitivities

These are independent assumptions for September 2028 using FY2028 earnings, discounted to today at 12% annually. They are **not forecasts or broker price targets**. They test how much execution must improve. The multiples are judgemental: the lower case reflects weak growth and control risk; the upper case assumes reliable contracted cash generation.

EURm unless stated	Stress	Central	Successful rollout
EBITDA, excluding associates	20	30	45
Enterprise value / EBITDA	7x	9x	10x
Net debt, including leases	110	130	150
Minority interests: assumed value	15	20	25
Associates: assumed equity value	10	10	10
Equity value in two years	25	130	285
Discounted value per share	EUR3.8	EUR19.6	EUR43.0
Difference from EUR23	-84%	-15%	+87%

Formula: (EBITDA × multiple - net debt - minority value + associate value) ÷ 5.280m shares ÷ 1.12². No dilution or dividends assumed. Future debt includes assumed investment, interest and hedge settlements after operating cash flows; the July loss is not deducted twice. Natural hydrogen receives zero value. Projects are included through future earnings, with no separate pipeline value added.

The central case already assumes a marked earnings recovery. It gives about EUR20 today, with little protection at EUR23. Stress illustrates how debt can absorb most enterprise value; it is not a predicted trading price. Successful delivery can justify over EUR40, but requires substantially better cash earnings and financing discipline.

Decision: I would wait for the October accounts and clearer evidence of execution before making a substantial new investment. An existing position should be judged against those milestones and its capacity to absorb a severe loss. In the central model, each additional EUR10m of net debt removes about EUR1.51 per share today; 10% extra shares reduce per-share value by about 9%, holding equity value constant.

15. FactSet via Boursorama. FDE consensus recommendations and financial forecasts (18 August / 9 September 2026).

Decision checkpoints and sources

What would improve the case: October's accounts reconcile hedge losses and demonstrate funding headroom; new engines produce at contracted margins; Romerike contributes cash; Agder and Halså reach funded, credible milestones. Hydrogen needs sustained flow data and an independent resource assessment before entering a core valuation.

What would weaken it: further hedge losses, falling unrestricted cash, greater borrowing or dilution without matching earnings, repeated project delays, or technical and permitting setbacks. The company has investable operating assets; the unresolved issue is how much of their future value reaches each existing share.

All links below are clickable. Company targets and project economics are management statements; court and IFPEN material provide independent checks. Market data are dated snapshots. Valuation cases and derived ratios are the analysis in this report, not company guidance.

1. Zonebourse. FDE closing quote, price history and trading volumes. 9 September 2026.
2. FDE. Shares and voting rights at 31 December 2025. 21 January 2026.
3. Boursorama. CAC Mid & Small: historical performance. 9 September 2026.
4. FDE. FY2025 annual report, pp. 128, 131, 149 and notes. 31 October 2025.
5. FDE. H1 FY2026 financial statements and notes 2.5, 3.2, 3.9. 30 March 2026.
6. FDE / Actusnews. FY2026 annual revenue announcement. 21 July 2026.
7. FDE / Actusnews. Impact of energy-price volatility on FY2026 hedging positions. 16 July 2026.
8. FDE / Actusnews. Continued rollout of electricity production from mine gas. 31 August 2026.
9. FDE. FY2025 results presentation: project economics, p. 14. 28 October 2025.
10. FDE. H1 FY2026 results presentation, pp. 6 and 12. 25 March 2026.
11. FDE / Webdisclosure. Natural hydrogen concentrations in the Lorraine basin. 23 June 2026.
12. IFP Energies nouvelles. La lettre IFPEN #16: Hydrogène naturel. 11 June 2026.
13. Conseil d'État. Environment review: Bleue Lorraine judgment of 16 December 2025. 5 May 2026.
14. French Senate / Ministry. Parliamentary question 08659: natural hydrogen in Lorraine. 2026.
15. FactSet via Boursorama. FDE consensus recommendations and financial forecasts. 18 August / 9 September 2026.
16. FDE. Investing in FDE: capital structure at 31 December 2025. accessed 9 September 2026.
17. FDE. FY2023 annual report, pp. 28 and 33. October 2023.
18. FDE / AMF dissemination. Confirmation of 2026 targets and new 2030 objectives. 31 May 2024.
19. Greenstat / Arendalsuka. Building a hydrogen factory: project participants event. 10 August 2026.
20. Boursorama. FDE closing quote: EUR23.00, last trade 17:35:30 CEST. 9 September 2026.